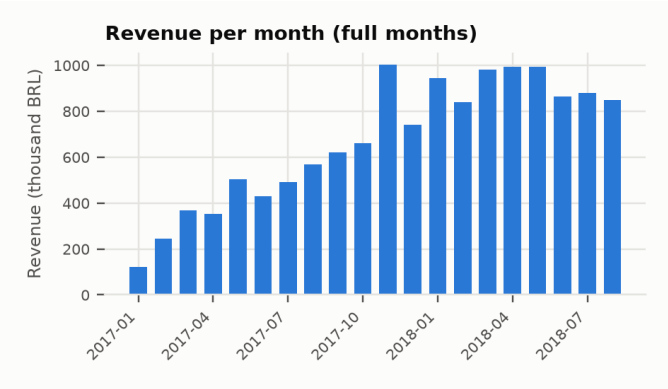
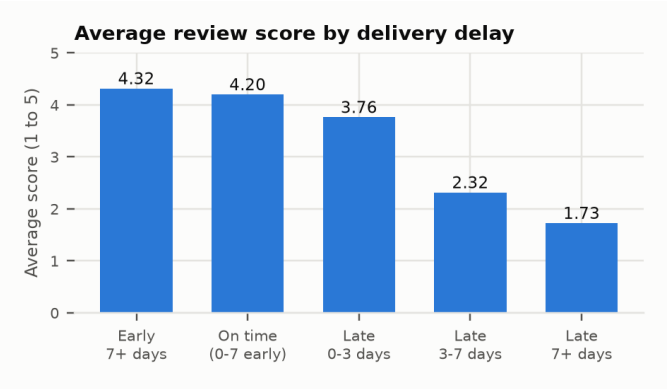
Ecommerce sales insights

Olist marketplace, Brazil. Report for managers. Revenue means item prices without freight, for valid sales (not canceled or unavailable).

Business question. Where does the marketplace grow, who buys, and what hurts customer satisfaction? This report uses about 100,000 real, anonymised orders from the Olist marketplace in Brazil (2016 to 2018) and gives 5 actions for the next quarter.

13.49M	98,199	94,983	137.42	3.04%
Revenue (BRL, item prices)	Orders (valid sales)	Customers	Average order value (BRL)	Customers who bought again





Left: monthly revenue grew fast in 2017 and was flat in 2018. Right: late deliveries get much lower review scores.

Key findings

#	Finding	Evidence
1	**Growth slowed in 2018**	Monthly revenue rose from 120,098 (2017-01) to 848,860 (2018-08); the peak was 2017-11 (1,003,862). Average monthly growth fell from 22.7% in 2017 to 2.5% in 2018.
2	**Almost nobody comes back**	Only 2,887 of 94,983 customers (3.04%) bought more than once. On average 0.48% of a monthly cohort orders again in the next month. 98.2% of revenue comes from customers in their first month.
3	**Late delivery destroys reviews**	8.0% of delivered orders arrive late. 54.1% of late orders get a 1 or 2 star review, against 9.2% of on-time orders (average score 2.56 vs 4.29). A late order is 5.9 times as likely to get a low review (statistical test: p below 0.05, effect size d = 1.45, large).
4	**A few categories carry the business**	18 of 74 categories make 80% of revenue. The top 3 (health beauty, watches gifts, bed bath table) make 25.9%. Products without a category name make 1.3% of revenue.
5	**Revenue sits in the Southeast**	SP, RJ, MG make 63.4% of revenue; SP alone makes 38.3%.
6	**People buy on weekdays, during work hours**	45.2% of orders are placed between 10:00 and 16:59, and only 23.0% on a weekend (Monday is the busiest day, Saturday the quietest).

Recommendations

1. Fix delivery first (based on finding 3)
Reduce late deliveries and make delivery dates honest: watch the slowest carriers and lanes, add safety days to risky estimates, and warn customers early. Track the late rate (today 8.0%) and the share of 1 and 2 star reviews every month.

2. Start a retention programme (based on finding 2)
Send a follow-up message after delivery and a second-order offer. Start with the 36,753 recent first-time buyers (segment "New Customers") and the 2,887 repeat buyers in the segments Champions, Loyal and At Risk.

3. Focus range and marketing on the top categories (based on finding 4)
Put stock, seller recruitment and advertising budget behind the 18 categories that make 80% of revenue. Fix the missing category names (1.3% of revenue) so that reports are complete.

4. Test free shipping with a real A/B test (based on finding 1, 5)
Freight is 16.6% of the item value, so free shipping is expensive. Run a proper test before any roll-out. The method demo in this project (SIMULATED data, not real customers) shows that about 19,716 visitors per group are needed to detect a +0.5 point gain on a 3.0% conversion rate.

5. Run promotions and support on weekdays (based on finding 6)
Plan promotions, e-mail sends and customer support hours for weekdays between 10:00 and 17:00, when most orders arrive.

Outlook. A simple forecast (the average of the last 3 months) gives about 863,390 BRL per month for 2018-09 to 2018-11 (range 750,027 to 976,753). More complex models did not beat this baseline. The typical error in a backtest was 13.1%.

Limits

- **Period and scope.** One marketplace, valid sales from 2016-09 to 2018-09. Trends use the full months 2017-01 to 2018-08 only.
- **Patterns, not proof.** The data shows links (for example late delivery and low reviews), not causes.
- **The A/B test is SIMULATED.** It uses made-up data with a fixed random seed. It shows the method, not a real result.
- **Forecast.** Only 20 full months, no holiday information, and the 3 forecast months are after the end of the data.
- **No costs.** Revenue is the item price without freight. Margin and profit are unknown.